# Investing Basics Workbook

Building your first portfolio

**Educational use only.**
This product contains educational information and templates. Nothing here is professional, legal, tax, or investment advice. Consult qualified professionals for your specific situation.

## 01. Why Invest? Understanding the Power of Compound Growth

Investing means putting your money into financial assets (stocks, bonds, funds) with the expectation that it will grow over time. The power of investing comes from compound growth: earning returns on your returns. A dollar invested at age 25 earning 7% annually grows to $76.86 by age 65. The same dollar at 35 becomes only $14.97. Time is your greatest asset. Starting early gives your money decades to compound, which is why even small monthly amounts matter dramatically over 20+ years. This workbook teaches the basics so you can open your first account with confidence and clarity about what you're buying and why.

## 02. Three Investment Types: Stocks, Bonds, Index Funds

A stock is a share of ownership in one company. Buy Apple stock? You own a fractional piece of Apple. Stocks historically return ~10% annually but swing wildly. A single bad company choice can sink you. A bond is a loan. You lend money to a government or corporation; they pay you interest. Bonds return ~3-5% historically with much lower swings. Index funds hold hundreds or thousands of stocks in one purchase. Buy an S&P 500 index fund? You own a tiny piece of 500 companies. One failure barely matters. This is the beginner's secret: spread your risk across hundreds of companies through a single purchase. Index funds have low costs (0.03-0.10% annually) and require zero stock-picking skill.

## 03. Your Risk Tolerance: The Foundation

Risk tolerance is how much volatility you can emotionally and financially handle. If a 25% market drop makes you panic-sell, you've chosen wrong. Answer these questions honestly:

Q1: Your $10,000 portfolio drops to $7,500. You: (a) Sell everything—too scary (b) Sell half (c) Wait (d) Buy more at the discount?
Q2: When will you need this money? (a) <3 years (b) 3-10 years (c) 10-20 years (d) 20+ years?

Q3: Emergency fund: (a) 0 months (b) 1-3 months (c) 3-6 months (d) 6+ months of expenses?

Q4: Market experience: (a) None (b) Retirement account only (c) Lived through a crash (d) Comfort with volatility?

Score 1-4 per question. Total: 4-7 = Conservative. 8-11 = Balanced. 12+ = Growth-oriented. This is your starting allocation guide.

## 04. Asset Allocation: The Allocation Rule of Thumb

The "110 minus your age" rule suggests allocating the result to stocks, rest to bonds/cash. Age 30? 110-30=80% stocks, 15% bonds, 5% cash. This is a starting point, not gospel. Adjust based on your risk profile. Conservative? Reduce stocks by 10-15%, increase bonds. Growth-oriented? Increase stocks by 5-10%, reduce cash.

| Age | Stocks | Bonds | Cash |
|---|---|---|---|
| 25 | 85% | 10% | 5% |
| 35 | 75% | 15% | 10% |
| 45 | 65% | 20% | 15% |
| 55 | 55% | 30% | 15% |

## 05. Compound Growth Examples

These examples show how consistent contributions compound over time at a 7%
doesn't return smoothly—some years gain 20%, others lose 10%—but 7% is a hi
years show exponential growth. That's compounding at work.

### Example 1: Conservative Start ($1,000 + $250/month)

| Year | Contributed | Portfolio Value | Growth | Annual Return % |
|---|---|---|---|---|
| 5 yr | $16,000 | $21,155 | $5,155 | 32.2% |
| 10 yr | $31,000 | $50,416 | $19,416 | 62.6% |
| 20 yr | $61,000 | $148,267 | $87,267 | 143.1% |

### Example 2: Moderate Start ($5,000 + $400/month)

| Year | Contributed | Portfolio Value | Growth | Annual Return % |
|---|---|---|---|---|
| 5 yr | $29,000 | $39,142 | $10,142 | 35.0% |
| 10 yr | $53,000 | $88,234 | $35,234 | 66.5% |
| 20 yr | $101,000 | $257,832 | $156,832 | 155.3% |

## 06. The Compound Growth Formula

Future Value = Present Value × (1 + r) • + Monthly Payment × [((1 +
months. This is how your calculator computes growth. Knowing the

## 07. Pre-Investing Checklist: Five Must-

& High-interest debt eliminated. Credit card at 24% APR? Pay that

& Emergency fund established (3-6 months expenses, separate ac
locked in the loss.

& Employer 401(k) match captured (if applicable). That's free mone
the table.

& Know your fund's expense ratio. Annual fee as % of balance. 0.0

& Contribution schedule set (e.g., "$250 on the 1st of every month'
don't fail due to willpower.

## 08. Getting Started: Where to Open an

Brokers: Vanguard, Fidelity, Charles Schwab. All have low fees and
funds: VTI (total US stock), VXUS (international), BND (bonds), SC
explains holdings, risks, and fees. Ask yourself: Why am I buying thi

## 09. Quick Reference & Worksheet

Your age: _____ Target stock allocation: ____% Bonds: ____% Cas
Brokerage [ ] 401(k) [ ] IRA Fund chosen: _________________ Exp